Startup India Seed Fund Scheme (SISFS) Operational Guidelines

Issuing Authority: Department for Promotion of Industry and Internal Trade, Govt. of India

1. Objective and Corpus of SISFS

The Startup India Seed Fund Scheme (SISFS) was established by the Department for Promotion of Industry and Internal Trade (DPIIT) with a total corpus of Rs. 945 Crore to provide financial assistance to early-stage startups for Proof of Concept (PoC), prototype development, product trials, market-entry, and commercialization. The scheme bridges the funding gap before venture capital or commercial bank credit is accessible.

2. Startup Eligibility Criteria

To be eligible for seed funding under SISFS, a startup must satisfy the following conditions:

• Recognized by DPIIT as a startup with an active certificate of recognition.

• Incorporated not more than 2 years prior to the date of application.

• The startup must have a business idea to develop a product or service with a market fit, viable commercialization, and scalable technology.

• The startup should not have received more than Rs. 10 Lakhs of monetary support under any other Central or State government scheme (excluding prize money, stipend, or academic grants).

• Indian promoters must hold at least 51% shareholding in the startup at the time of application.

3. Form and Scale of Financial Assistance

Financial assistance to selected startups is disbursed through approved incubators under two primary components:

• Proof of Concept / Prototype Grant: Up to Rs. 20 Lakhs as a non-repayable grant for validation of proof of concept, prototype development, or conducting product trials.

• Commercialization / Market Entry Debt: Up to Rs. 50 Lakhs as convertible debentures, debt, or debt-linked instruments for market entry, commercialization, and scaling up.

The debt instrument carries a tenure of up to 5 years with a moratorium period of up to 12 months on principal and interest repayment.

4. Role of Incubators and Evaluation

Funds are distributed across India via 300+ government-approved incubators. Each approved incubator has an Experts Advisory Committee (EAC) that evaluates startup pitches based on idea novelty, social impact, scalability, and financial feasibility. Startups can apply online to up to 3 preference incubators simultaneously on seedfund.startupindia.gov.in.

5. Disbursement Milestones and Monitoring

Grants and debt are released in milestone-based tranches linked to specific development targets (e.g. initial 30% advance on signing agreement, 40% on prototype delivery, 30% on field testing completion). Incubators submit utilization certificates and progress updates via the central Startup India portal.